

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

INTERNATIONAL EXPRESS TRUCKING, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND COSCO SHIPPING
(NORTH AMERICA) INC., AS AGENT FOR COSCO SHIPPING
LINES CO., LTD., *Respondents*.

DOCKET NO. 24-20

Served: September 17, 2025

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

INITIAL DECISION GRANTING MOTION TO DISMISS WITHOUT PREJUDICE¹

I. Introduction

On May 7, 2024, Complainant International Express Trucking, Inc. (“IXT”) filed a complaint alleging that Respondents COSCO Shipping Lines Co., Ltd. and COSCO Shipping (North America) Inc. (collectively “COSCO”) violated 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5 in connection with the assessment of per diem charges due to circumstances outside IXT’s control and detention charges that did not incentivize freight fluidity. On August 11, 2025, IXT filed a motion to dismiss its complaint without prejudice pursuant to Commission Rule 72(a)(3), citing the costs of litigation. Dkt. 23. On August 15, 2025, COSCO filed an opposition to the motion, arguing that the dismissal should be with prejudice. Dkt. 24. For the reasons discussed below, IXT’s motion is granted.

II. Procedural History

On May 10, 2024, the Commission issued a Notice of Filing of Complaint and Assignment, assigning this proceeding to the Office of Administrative Law Judges. On May 13, 2024, the matter was assigned to the undersigned and an initial order issued. Respondent requested and was granted an extension of time to file its answer and, on June 17, 2024, filed a motion to dismiss the complaint as to COSCO Shipping (North America) Inc.

I held a status conference on December 12, 2024 for the purpose of clearing up confusion as to the identity of Respondents, who had been referred to by different names in different filings by both IXT and COSCO’s counsel. On December 13, 2024, I ordered the parties to correct the

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within 22 days of the date of service. 46 C.F.R. § 502.227.

record; COSCO then filed a praecipe correcting Respondent's name and IXT filed a notice of errata and substitute complaint.

On March 10, 2025, I issued an order granting the motion to dismiss COSCO Shipping (North America) Inc. COSCO filed its answer on March 20, 2025. On April 4, 2025, the parties filed a joint status report and I issued a scheduling order. IXT filed its motion to dismiss without prejudice on August 11, 2025.

III. Discussion

Commission Rule 72(a)(3), which governs voluntary dismissal of complaints after the respondent has filed an answer, provides:

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3).

In support of its motion, IXT states that “[d]ue to the costs of litigation, IXT has no choice but to seek to dismiss this matter.” Mot. for Order of Dismissal 1. IXT characterizes 46 C.F.R. § 502.72(a)(3) as a “default” rule in favor of dismissal without prejudice and argues that because litigation cost is the reason for seeking voluntary dismissal, a dismissal without prejudice is appropriate here. COSCO counters that Rule 72(a)(3) does not in fact create a default rule, and that it would be prejudiced by dismissal without prejudice. Opp’n to Mot. for Dismissal 1-2. The prejudice COSCO identifies is that it has spent “tens of thousands of dollars defending the Complaint, which would have to be duplicated if IXT were permitted to bring a new complaint before the FMC.” Opp’n to Mot. for Dismissal 1.

COSCO's reading of the rule is correct – dismissal is granted on terms the presiding officer considers proper and the last sentence of Commission Rule 72(a)(3) merely fills the gap when an order of dismissal is silent as to whether the dismissal is with or without prejudice. Rule 72 does not define what terms are “proper” when a complainant seeks voluntary dismissal, and the Commission does not appear to have spoken on the issue. In situations not specifically covered by Commission Rules, the Federal Rules of Civil Procedure will be followed to the extent they are consistent with sound administrative practice. 46 C.F.R. § 502.12.

Federal courts applying FRCP 41(a)(2) (the rule corresponding to Commission Rule 72(a)(3)) universally state that, in order justify denial of a motion for voluntary dismissal, a court must find that the dismissal would inflict clear legal prejudice on a defendant. *Conafay by Conafay v. Wyeth Lab'ys, a Div. of Am. Home Prods. Corp.*, 841 F.2d 417, 419 (D.C. Cir. 1988) (collecting cases). Federal courts take two approaches to determining whether a dismissal without prejudice would create a “clear legal prejudice.” The majority of courts use a multifactor test that weighs: (1) the defendant's effort and expense in preparing for trial; (2) excessive delay

and lack of diligence by the plaintiff in prosecuting the action; (3) the adequacy of plaintiff's explanation of the need to take a dismissal; and (4) the stage of the litigation at the time of the motion (a defendant's pending summary judgment motion would, for example, be relevant to this factor). *In re Vitamins Antitrust Litig.*, 198 F.R.D. 296, 304 (D.D.C. 2000); *see also N.S. by & through S.S. v. D.C.*, 272 F. Supp. 3d 192, 197 (D.D.C. 2017) (collecting cases setting forth the majority view). The minority approach rejects the considerations identified in this test as insufficient to warrant denying a voluntary dismissal motion, instead focusing on whether the defendant would lose a legal claim or defense in future litigation. *Id.* at 197-198 (D.D.C. 2017) (citing cases setting forth the minority view). The D.C. Circuit has stated that granting of a voluntary dismissal motion should be virtually automatic, although the district court has at times applied the majority four-party test. *Id.* at 199.

Neither IXT nor COSCO identifies a test that they believe should apply. And the choice of test does not appear to matter in this case. The only argument that COSCO advances is that it will have to incur the same costs if IXT refiles this case before the Commission, stating that it has "already spent tens of thousands of dollars in defending the Complaint, which would have to be duplicated if IXT were permitted to bring a new complaint before the FMC." Opp'n to Mot. to Dismiss 1. Without further details or argument, this proposition is not persuasive. If IXT filed a new complaint before the Commission arising out of the same facts as this case, then presumably much of the legal work product or discovery materials could be reused in that action. And Respondent would have the same defenses available in a second identical action before the Commission were such a complaint to be filed. So under the minority approach, in which granting of a motion to dismiss without prejudice should be "virtually automatic," there is no overriding consideration or legal prejudice to COSCO that would warrant denying the motion.

If the four-factor test is applied, there is similarly no discernible prejudice. As to the first factor, effort and expense in preparing for trial, IXT states that the parties have exchanged document discovery but have not taken any depositions, although they had agreed to a deposition schedule. Mot. to Dismiss 2. COSCO does not contradict this representation of the parties' discovery efforts. Nor has either party submitted a brief. Seeing that the parties did not even complete discovery, it can hardly be said that COSCO's trial preparation is at an advanced stage.

As to excessive delay or lack of diligence, since the April 4, 2025 Scheduling Order [Dkt. 20] was entered, there has been no request for an extension by either party, and the request for voluntary dismissal was made a month in advance of the scheduled briefing. This is not indicative of undue delay. As to the adequacy of IXT's explanation for requesting dismissal, it states that the cost of litigation has become prohibitive. There is nothing improper about this explanation, and parties routinely weigh the costs and benefits of litigation in deciding how to pursue their claims. Finally, no motion for summary judgment, brief, or other motion of any kind was pending at the time of IXT's request for voluntary dismissal, such that the stage of litigation would warrant denial of the motion. *See Damisa v. Trans Atlantic Shipping LLC*, Docket No. 1967(F), 3 F.M.C.2d 123, 128 (ALJ Aug. 27, 2021) administratively final Sep. 27, 202 (where complainant provided a proper explanation for its motion to dismiss and where there was no pending brief or motion on the merits when the voluntary withdrawal request was filed, dismissal without prejudice was granted).

COSCO cites certain language from *Container Distribution, Inc. v. Neptune Orient Lines, Ltd.*, Docket No. 86-18, 1986 WL 181452 *1 (ALJ Oct. 9, 1986), apparently to support the proposition that a respondent's effort and expense in defending a case is, standing alone, a basis to deny a motion to dismiss without prejudice. Opp'n to Mot. to Dismiss 2. But the selectively quoted text from that case does not accurately reflect its holding. In fact, the presiding officer in that case noted that respondent argued that complainant's purpose in filing the complaint was to gain leverage in contract negotiations, and that complainant never had any intent to litigate the proceeding. *Id.* At complainant's request, the presiding officer postponed the prehearing conference, and then when counsel requested a second postponement, the presiding officer requested an affidavit supporting the alleged schedule conflict, which was not provided. *Id.* Complainant's counsel did not appear at the prehearing conference, and even after the presiding officer allowed the case to continue and entered a scheduling order, complainant failed to answer discovery requests, while respondent did answer complainant's requests. The presiding officer noted that the "result was that Neptune went to considerable effort and expense in defending this case, including attorney's fees." *Id.* But it was the finding that complainant filed and pursued the case in bad faith, not any finding regarding respondent's expenses, that prompted the presiding officer to dismiss the case with prejudice. *Id.* at *1-2.

There is no allegation of any such bad faith on the part of IXT in this case. And regardless of the test applied, COSCO has not shown that it would suffer any legal prejudice resulting from dismissal without prejudice. Under either the majority or minority approach, I find that dismissal without prejudice is proper.

IV. Order

Upon consideration of the motion and the record herein, the arguments of the parties, and the conclusions set forth above, it is hereby

ORDERED that Complainant International Express Trucking, Inc.'s motion for voluntary dismissal of its complaint be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITHOUT PREJUDICE**.

ALEX

CHINTELLA

Digitally signed by

ALEX CHINTELLA

Date: 2025.09.17

12:25:58 -04'00'

Alex M. Chintella

Administrative Law Judge